



Our ref: IM-72793

16 December 2024

Land of the Ngunnawal people
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Dear interested party,

Re: ACCC seeking your views: Elders Limited acquisition of Delta Agribusiness

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition of Delta Agribusiness (**Delta**) by Elders Limited (**Elders**) (the **proposed acquisition**).

Elders and Delta supply a range of rural merchandise and associated products and services. Further details are in **Attachment A**.

The ACCC's investigation is focused on the impact on competition of the proposed acquisition. In particular, we are seeking your views on the likely impact on prices and service quality in the:

- retail supply of rural merchandise (fertiliser, crop protection products, seed, animal health products and other miscellaneous merchandise),
- wholesale supply of rural merchandise,
- supply of agronomic advice, and
- supply of agency services, including for livestock, real estate and finance

Further issues you may wish to address are set out at **Attachment A**.

This matter is public and you can forward this letter to anybody who may be interested

The legal test the ACCC applies when assessing mergers and acquisitions is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by 5pm on **10 January 2025** via email to mergers@acc.gov.au with the title: *Submission re: Elders/Delta*. If you require more time to respond, please let us know.

If you would like to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@acc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our Informal Merger Review Process Guidelines contain more information on confidentiality

Yours sincerely

A handwritten signature in blue ink, appearing to read 'Morag Bond', is positioned above the typed name.

Morag Bond

General Manager

Merger Investigations

Attachment A

Elders

Elders is an ASX-listed (**ASX: ELD**) agribusiness.

Elders supplies a range of agriculture-related products and services. Elders provides rural merchandise as well as a range of livestock and wool agency, real estate, finance, and feed and processing services across Australia. Elders also provides agronomic services.

Elders operates 245 retail stores as well as operating a buying and marketing group called Australian Independent Rural Retailers (AIRR), which distributes rural merchandise on a wholesale basis.

Further information about Elders can be found at: <https://elders.com.au/>.

Delta

Delta is an Australian supplier of a range of agriculture-related products and services. Delta provides rural merchandise primarily in regional areas of New South Wales, Victoria, South Australia and Western Australia.

In addition to rural merchandising, Delta provides farm consultancy and production agronomy services, grain marketing services and livestock agency services. Delta also provides access to real estate and finance services through referral agreements with a real estate agent (Land, Agribusiness, Water and Development (**LAWD**)) and a bank (DLL Group) respectively.

Delta operates 64 retail stores as well as operating a wholesale business (Delta WA) located in Western Australia.

Further information about Delta can be found at www.deltaag.com.au.

The proposed acquisition

On 18 November 2024 the parties executed a Share Sale Agreement for Elders to acquire 100% of the shares in Delta.

Attachment B

- 1) Please provide a brief description of your interest in the proposed acquisition, including any commercial relationship(s) with **Elders** or **Delta**. This will help us better understand your views.

Relevant products or services

The ACCC understands that Elders and Delta overlap in the supply of the following services:

- rural merchandise retailing and wholesaling (including crop protection products, fertiliser, seed, feed supplements, animal health products, fencing equipment, harvest products, plant nutrition, safety equipment, spraying equipment and general rural merchandise)
- agronomic advice¹
- livestock agency
- real estate services, and
- financial services.²

For each of the above areas, the ACCC is seeking views on the following:

Questions for customers of Elders and/or Delta

- 2) Identify and describe the types of products and services you acquire from Elders or Delta, at a retail or wholesale level.
- 3) Identify your suppliers for these products or services (including suppliers other than Delta and Elders)³
 - a) Which suppliers do you consider to be particularly effective competitors (for example, through their innovation, product offering or service)?
 - b) How closely do Elders and Delta compete (for example, on price, quality, location or range) in the supply of each of these products or services?
- 4) Outline the extent to which independent retailers and/or consumers purchase rural merchandise directly from manufacturers and/or importers (rather than wholesalers), and the type of rural merchandise products they typically purchase from these suppliers.

For customers that purchase rural merchandise from retail stores

- 5) Where is your closest rural merchandise retail store? How far away is it (both in the distance required to drive there, and approximate drive time)?
- 6) Describe the geographic area over which you generally source rural merchandise and any relevant factors for this, such as transport time and costs.

¹ While both Delta and Elders offer agronomic advice, the focus of their agronomy businesses differ: Delta primarily provides professional farm consultancy services for a fee, whereas Elders primarily provides free production agronomy advice alongside the sale of rural merchandise.

² While Delta does not provide finance or real estate services directly, it does earn commissions by referring their customers to DLL and LAWD.

³ This might include: rival chains, independent retailers, online purchases, purchasing direct from wholesalers/manufacturers, alternative suppliers, specialist, hardware and general merchandise stores.

For retailers who acquire wholesale supply of rural merchandise

- 7) How difficult is it for retailers to switch wholesalers, or source from multiple wholesalers simultaneously?

For customers that acquire agronomy services

- 8) Do you obtain agronomy services from Elders, Delta, competing agencies, and/or independent agronomists?
- a) What factors do you consider when selecting a provider of agronomy services?
- b) Do you obtain different types of agronomic services from different agencies?

For customers that acquire agency services

- 9) What factors do you take into account in selecting a livestock, finance or real estate agent?
- 10) To what extent do Elders and Delta compete in providing these types of services?

Questions for competing suppliers of rural merchandise or agency services

- 11) Identify the products and services you supply in Australia and the areas where you provide these services.
- a) identify your competitors for each key product or service you supply, in the areas where you provide the product or service.
- b) where possible, provide estimated shares of supply for each of these areas.
- 12) Will your ability to compete with a combined Elders-Delta in the area in which you provide services be affected by the acquisition? Why?
- 13) What would be involved for a new firm to start supplying these services? How easy/difficult would this be and why?
- 14) Describe the geographic area over which customers generally source rural merchandise and any relevant factors for this, such as transport costs. Can customers source these products and services from further away in response to a price increase?
- 15) To what extent do you make decisions regarding prices, product range, service offering and other competitive choices at a national level? To what extent do you make these decisions on a local level?

Other

- 16) Identify any concerns you may have with the aggregation of two national suppliers of the identified products and services (i.e. scale efficiencies, exclusive access to certain brands, access to advanced technology/research etc)?
- 17) Provide any additional information or comments that you consider relevant to the ACCC's consideration of the proposed acquisition.